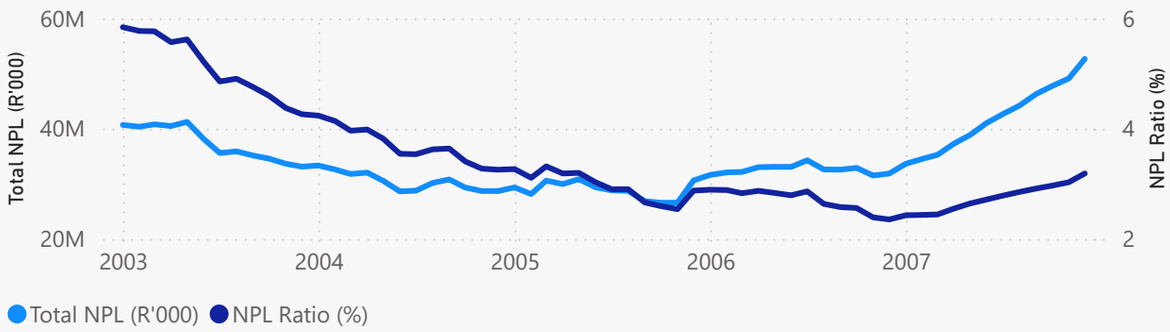
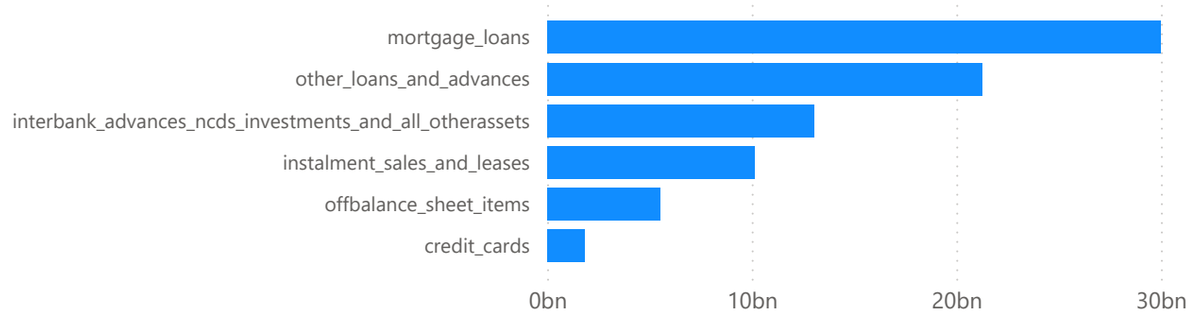
R63bn	R2bn	3,25	49,94
Total Gross Exposure (R'000)	Total NPL (R'000)	NPL Ratio (%)	Provision Coverage (%)

South Africa's total banking sector loan book grew from R4.8bn to R18.2bn between 2003 and 2007, a 279% expansion. Despite this growth, the NPL ratio declined from 5.1% to 2.8%, masking a significant concentration of credit risk in mortgage and other loans and advances categories.

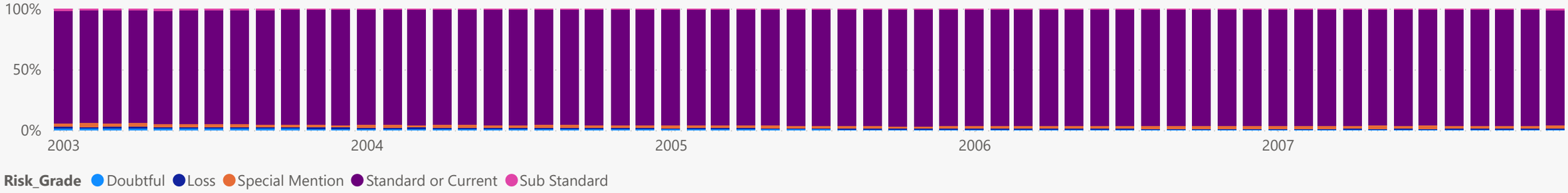
NPL Trend 2003 - 2007



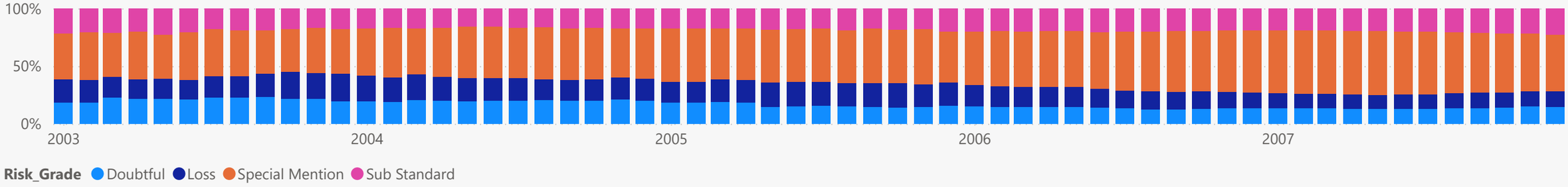
Gross Exposure by Loan Type



Risk Grade Composition by Year



Impaired Loan Composition (Sub-Standard, Doubtful, Loss)

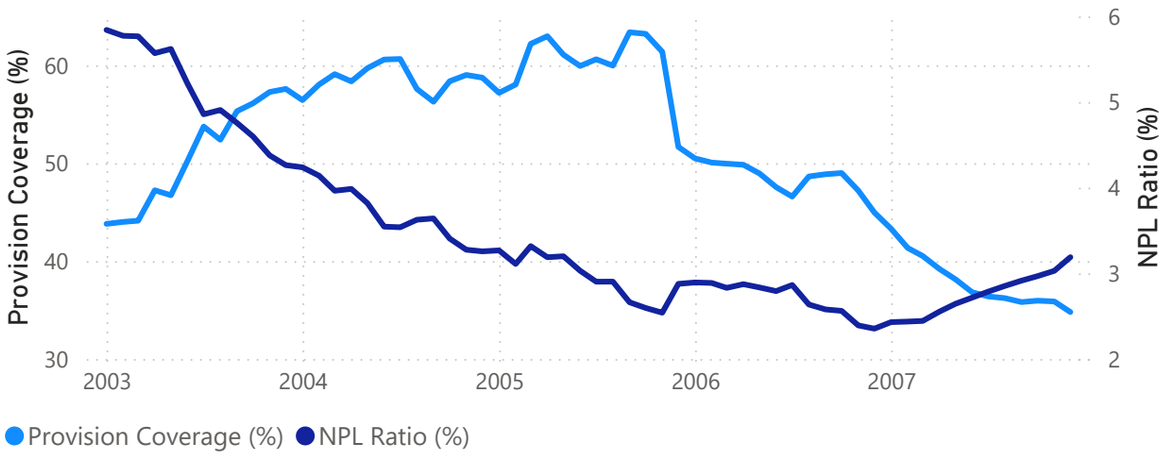


Source: South African Reserve Bank (SARB) | BA Returns DI500-Credit Risk | Total Banks | January 2003 – December 2007 | Values in R'000

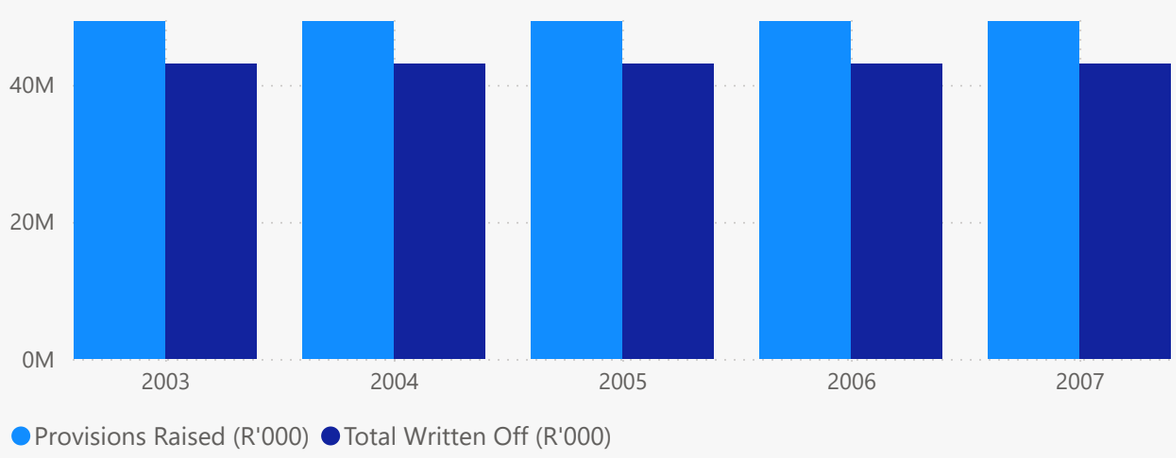
1bn	49M	49,94
Specific Provisions (R'000)	Provisions Raised (R'000)	Ave. Provision Coverage (%)

Provision coverage declined from ~65% to ~35% between 2003 and 2007, while absolute provisions fell from R226bn to R188bn against a doubling loan book. The sector entered 2008 structurally under-provisioned relative to its impaired exposure.

Provision Coverage vs NPL Ratio



Provisions Raised vs Amounts Written Off



Year	Total Gross Exposure (R'000)	Total NPL (R'000)	NPL Ratio (%)	Specific Provisions (R'000)	Provision Coverage (%)
2003					
Qtr 1	2 102 778 540	121 814 523	5,79	53 562 346	43,97
Qtr 2	2 191 902 646	119 832 561	5,47	57 532 769	48,01
Qtr 3	2 202 922 416	106 599 525	4,84	57 351 681	53,80
Qtr 4	2 297 600 087	101 313 295	4,41	57 728 114	56,98
2004					
Qtr 1	2 375 974 087	97 700 791	4,11	56 503 758	57,83
Qtr 2	2 411 231 033	91 192 880	3,78	54 262 978	59,50
Qtr 3	2 490 907 939	89 707 521	3,60	52 130 257	58,11
Qtr 4	2 618 037 918	86 694 155	3,31	50 889 177	58,70
2005	**11 725 126 531**	**346 377 295**	**2,95**	**208 046 153**	**60,06**
2006	**14 493 811 200**	**390 677 476**	**2,70**	**189 472 181**	**48,50**
2007	**18 238 306 857**	**503 225 163**	**2,76**	**188 848 497**	**37,53**

Specific Provisions (R'000) Over The Five Years (2003-2007)

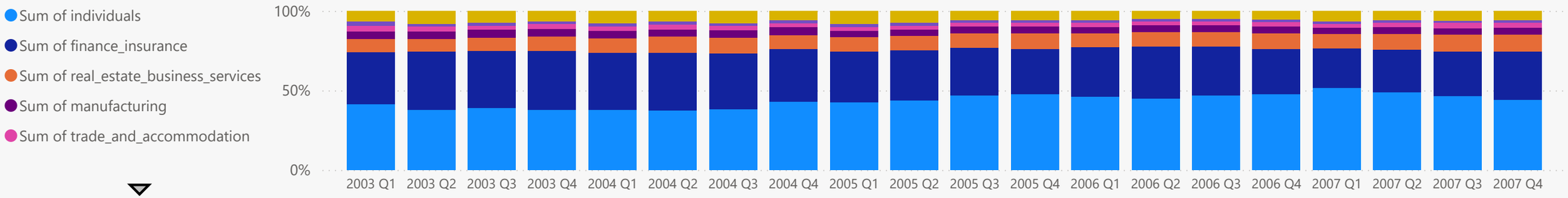
Source: South African Reserve Bank (SARB) | BA Returns DI500-Credit Risk | Total Banks | January 2003 – December 2007 | Values in R'000

12bn
Individual Advances (R'000)

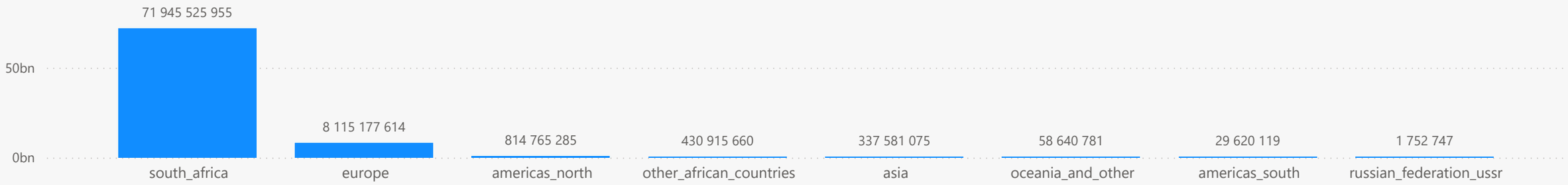
40,93
Individual Concentration (%)

Individual borrowers consistently represented ~40% of total advances throughout 2003–2007, with finance and insurance a distant second at ~30%. Domestic exposure remained dominant at 88%, with Europe as the largest foreign counterparty at R8.1bn.

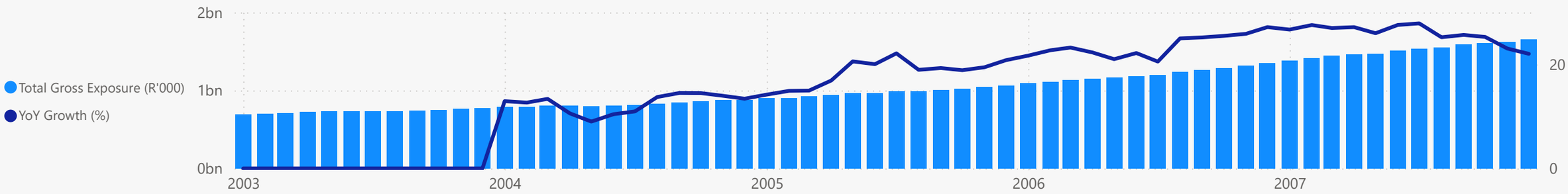
Sectoral Concentration of Advances (Quarterly)



Geographic Distribution of Advances



Total Gross Exposure (R'000) and YoY Growth (%) by period



Source: South African Reserve Bank (SARB) | BA Returns DI500-Credit Risk | Total Banks | January 2003 – December 2007 | Values in R'000